

Summary of plan features

Premium payment term	2 years / 5 years	
Issue age (age next birthday)	Premium payment term	Issue age (age next birthday)
	2 years	Age 1 (15 days) - 80
	5 years	Age 1 (15 days) - 75
Benefit term	Whole life of the insured	
Premium structure	Guaranteed as fixed throughout the premium payment term	
Currency	US\$	
Notional amount	Notional amount is used to calculate premium payable, guaranteed cash value, reversionary bonus (if any) and special bonus (if any). Notional amount does not represent the family accidental death benefit or death benefit and will not be paid upon the death of the insured.	
Minimum notional amount at policy issue	Premium payment term	Minimum notional amount at policy issue
	2 years	US\$10,000 (per policy)
	5 years	US\$4,000 (per policy)
Maximum notional amount	subject to underwriting requirements	
Premium payment mode	monthly / annually	
Death benefit	If the insured dies (subject to the smart legacy option provision under the policy) while the policy is in effect, death benefit will be paid which is equal to: (a) The higher of: - the sum of guaranteed cash value, the face value of reversionary bonus (if any) and face value of special bonus (if any) or 100% of total premiums paid; (b) Plus the balance of the bonus lock-in account (if any); and (c) Less total indebtedness (if any) (e.g. policy loan with interest) and any outstanding insurance levy(ies). When calculating the total premiums paid, premium of any rider(s) will not be included. If the policy has been partially surrendered, we will calculate the death benefit based on the total premiums paid reduced on a proportional basis according to the partial surrender.	
Surrender benefit (Note 17)	Surrender benefit equals to: (a) Guaranteed cash value; (b) Plus cash value of the reversionary bonus (if any); (c) Plus cash value of the special bonus (if any); (d) Plus the balance of the bonus lock-in account (if any); and (e) Less total indebtedness (if any) (e.g. policy loan with interest) and any outstanding insurance levy(ies).	

Summary of plan features

Partial surrender benefit (Note 17)	Partial surrender benefit is calculated on proportional basis according to the reduced notional amount and equals to: (a) Partial guaranteed cash value; (b) Plus partial cash value of special bonus (if any); (c) Less total indebtedness (if any) (e.g. policy loan with interest) and any outstanding insurance levy(ies). Any partial surrender benefit will reduce the notional amount. The total premiums paid, subsequent guaranteed cash value, face value and cash value of the reversionary bonus (if any) and face value and cash value of the special bonus (if any) will be reduced on a proportional basis from the effective date of partial surrender, according to the reduction in notional amount. Surrender benefit, death benefit and family accidental death benefit will be reduced accordingly. The reduced notional amount has to be greater than the minimum amount prescribed by FWD.
Reversionary bonus (non-guaranteed)	While the policy is in force, the reversionary bonus (if any) is available from the 2nd policy anniversary and declared on each policy anniversary on annual basis. <u>Face value of reversionary bonus:</u> - It is guaranteed once declared and will be permanently added to the policy. - The face value of reversionary bonus (if any) will be payable when the death benefit becomes payable. <u>Cash value of reversionary bonus:</u> - It is non-guaranteed and will be determined at the time of payment. - We will pay the cash value of reversionary bonus (if any) when any of the following situations occurs: 1. withdraw the cash value of the reversionary bonus (if any); or 2. surrender of the policy - The cash value of reversionary bonus (if any) will be transferred to the bonus lock-in account upon exercising the bonus lock-in option.
Special bonus (non-guaranteed)	While the policy is in force, special bonus (if any) is available from the 3rd policy anniversary and declared on each policy anniversary on annual basis. <u>Face value of special bonus:</u> - It is non-guaranteed bonus and will not be permanently added to the policy. - The face value of special bonus (if any) will be payable when the death benefit becomes payable. <u>Cash value of special bonus:</u> - It is non-guaranteed bonus and will not be permanently added to the policy. - It will be payable when any of the following situations occur: 1) partial surrender of the policy; 2) surrender of the policy; or 3) if the policy lapses and is not reinstated within two years, at the end of the two years period - The cash value of special bonus (if any) will be transferred to the bonus lock-in account upon exercising the bonus lock-in option.

Summary of plan features

Smart legacy option (Note 1)	You may submit a written request to allocate a designated percentage of the notional amount of your original policy to one or more separated policy(ies) (“Designated Policy(ies)”) in the event of the death of the original insured. With respect to each Designated Policy, you can nominate up to 3 contingent insureds at a time and specify the sequence of succession.
Death benefit settlement option (Note 3)	Policy owner can choose the death benefit settlement option for the payment of death benefit, family accidental death benefit (if applicable) and the specified amount under any attached rider(s) (in the form of a lump sum payment, regular / increasing installment*, or a mix of both) and make subsequent changes while the insured is alive and the policy is in effect, subject to FWD’s relevant policies and procedures as determined in FWD’s sole discretion from time to time. Policy owner can designate the amount and/or the start date of first instalment for the payment of death benefit, family accidental death benefit (if applicable) and the specified amount under any attached rider(s) by instalments. * The increasing instalment amount will be increased annually by the annual increase percentage as specified by the policy owner regardless of the payout frequency is either by monthly or annually.
Incapacity benefit (Note 12)	While the policy is in effect, policy owner may submit a written request in FWD’s prescribed form to designate a family member (“Designated Person”) to receive the incapacity benefit and designate the percentage for the incapacity benefit when the policy owner is diagnosed with the covered illness. Covered illness refers to mental incapacity, terminal illness, coma, loss of independent existence, apallic syndrome, major head trauma and paralysis. For the definition of covered illnesses, please refer to the policy provisions.
Family accidental death benefit (Note 13)	Additional 200% of total premiums paid will be paid if the insured and /or the insured’s direct family member passes away due to an accident during the first 10 policy years while the policy is in force. When calculating the total premiums paid, premium of any rider(s) will not be included. If the policy has been partially surrendered, we will calculate the family accidental death benefit based on the total premiums paid reduced on a proportional basis according to the partial surrender.
Policy currency conversion option (Note 5)	Starting from the 3 rd policy anniversary, you can exercise the policy currency conversion option to change your policy currency to another currency selected by you (US\$, HK\$, RMB, AUD, CAD, EUR, GBP, SGD, and subject to availability as determined by us at our absolute discretion), by converting your plan to a designated plan (may or may not be the same as MaxFocus Legacy II Insurance Plan) that is available in your chosen new currency.

Summary of plan features

Bonus lock-in option (Note 9, 10, 11)	Starting from the 9 th policy anniversary and while the policy is in force, you can apply for bonus lock-in option to convert an identical percentage of cash value of the reversionary bonus and the cash value of the special bonus to guaranteed amount and transfer into a bonus lock-in account by exercising automatic lock-in option or flexi lock-in option.		
Policy-split option (Note 6)	Starting from the 3 rd policy anniversary, you may apply to exercise the policy-split option according to your needs and transfer a designated percentage of notional amount of your original policy to one or more separated policy(ies).		
Premium holiday (Applicable to the premium payment term of 5 years only) (Note 14)	Starting from the 2 nd policy anniversary and during the premium payment term, policy owner can apply for a premium holiday while the policy is in force.		
	Premium payment term	Maximum length of premium holiday (per policy)	Maximum length of premium holiday if the policy owner is diagnosed with cancer, heart attack or stroke (per policy)
	5 years	2 years	3 years
Keyman insurance (for corporate customers only)	Keyman insurance is applicable to company for business continuity planning. Corporate policy owner can change the insured keyman at anytime after 3 months from the policy date while the policy is in effect and the insured keyman is alive subject to the approval of FWD. Any change to the insured keyman must fulfill FWD’s prevailing policies and procedures. Any change of the insured keyman will not have any effect on the notional amount, total cash value, guaranteed cash value, reversionary bonus (if any), special bonus (if any), balance of the bonus lock-in account (if any) or policy years. Any rider(s) will be terminated at the time of change of insured keyman and no riders can be attached afterwards. Only one individual person can be named as the insured keyman at any one time. We will not accept any request to change the insured keyman if more than one person is nominated as the insured keyman. We will approve your request if the age of the person nominated is within our acceptable range.		

This product material is for reference only and is indicative of the key features of the product. For the exact terms and conditions and the full list of exclusions of the product, please refer to the policy provisions of this product materials. In the event of any ambiguity or inconsistency between the terms of this leaflet and the policy provisions, the policy provisions shall prevail. In case you want to read the terms and conditions of the policy provisions before making an application, you can obtain a copy from FWD. The policy provisions of the product are governed by the laws of the Hong Kong Special Administrative Region.

Dividend / bonus information & investment strategy

Dividend / bonus information

The non-guaranteed reversionary bonus, non-guaranteed special bonus, non-guaranteed annual dividend, non-guaranteed terminal dividend, non-guaranteed cash coupons, monthly non-guaranteed annuity payment and non-guaranteed interest for funds on deposit are determined based on the latest dividend / bonus declaration philosophy and investment strategy of FWD Life Insurance Company (Bermuda) Limited (incorporated in Bermuda with limited liability) (“FWD”, “We” or “us”) that shown below (Please refer to FWD’s website for latest information: <https://www.fwd.com.hk/en/regulatory-disclosures/dividend-bonus-declaration-philosophy/>)

You may also refer to below FWD’s website for dividend / bonus history: <https://www.fwd.com.hk/en/regulatory-disclosures/fulfillment-ratios/>

Dividend / bonus declaration philosophy

FWD issues participating policies, which offer the policyholders (“You”) with non-guaranteed dividend/bonus that includes reversionary bonus, special bonus, annual dividend, terminal dividend, non-guaranteed cash coupons, and non-guaranteed annuity payment. Other non-guaranteed benefits also include interest for funds on deposit.

Through the dividend/bonus declaration, you participate in the financial performance of the participating products. The financial performance of participating products covers the experience and future outlook of a number of factors, including but not limited to:

- 1. Investment return;
- 2. Expenses;
- 3. Persistency;
- 4. Claims experience.

FWD reviews the dividend/bonus at least annually based on our dividend policy. The dividend/bonus could be adjusted if the financial performance is different from the expectation, and as a result the actual declared dividend/bonus may be different from the benefit illustrations. The review may be performed more frequently than annual basis such that bonuses may be adjusted monthly or more frequently. FWD may also deduct as appropriate any reasonable expenses and charges in relation to the policy (such as charges to support guarantee) which will be reflected in the actual declared dividend/bonus.

The dividend/bonus recommendation is reviewed and approved by our Board of Directors (the “Board”), with written declaration by the Chairman of the Board, an Independent Non-Executive Director and the Appointed Actuary on due regard to our dividend policy as well as the principle of fair treatment of customers.

The current year and projected dividend/bonus would be communicated to you at least annually. Any changes in the current year and projected dividend/bonus will be reflected in the policy annual statement.

Smoothing

Financial performance is unforeseeable. To facilitate your financial planning, we have a smoothing process aiming to deliver a more stable dividend/bonus payouts during the policy term.

When the financial performance is better (worse) than expected, we may hold back a portion of the gains (losses), which will be passed back to you over the future years to ensure a more stable dividend/bonus payouts. Due to the variation of features and benefits of different products, different levels of smoothing may also be applied.

Pooling

Consistent with the nature of insurance contracts, we also group similar policies together to pool the risks amongst a larger number of policyholders to provide diversification benefits, which help to stabilize the financial performance (and hence the dividend/bonus payouts).

To maintain the fairness between policyholders, we may also separate different generations of policies of the same product into different buckets with different dividend/bonus scales, with an aim to more closely reflect the underlying financial performance. As a result, the frequency and magnitude of the dividend/bonus adjustments may vary among different products and buckets. In general, the adjustments on dividend/bonus are more frequent and significant for products with higher risk profile.

Dividend / bonus information & investment strategy

Funds on Deposits

The plan may allow the policyholders to place funds with us in arrangements including but not limited to non-guaranteed accumulated annual dividends, guaranteed and non-guaranteed accumulated cash coupons, guaranteed and non-guaranteed accumulated annuity payments, Premium Deposit Account, Bonus Lock-in Account, Special Bonus Lock-in Account and unpaid amount under death benefit settlement option, potentially earning interest at a non-guaranteed interest rate. To determine such non-guaranteed interest rate, we consider the financial performance on the pool of assets in which these amounts are invested with reference to the past experience and future outlook. This pool of assets is segregated from other investments of the Company and may include fixed income-type securities.

Investment strategy

FWD’s investment strategies are customized for different products to optimize the return. In particular, these asset portfolios employ a balanced asset allocation investment strategy, which mainly consists of

- Investment-grade fixed income-type securities
- Equity-type investments to enhance the investment performance in the long run. This may include listed equity, hedge funds, mutual funds, private equity, private credit funds, physical property and property funds

The current long-term target asset allocation of this product is as follows:

Asset type	Target asset allocation (%)
Fixed income-type securities	20% - 100%
Equity-type investments	0% - 80%

The asset portfolios target to provide diversification across different geographic regions and industries to the extent the size of portfolio can support. We may also utilize derivatives to manage our investment risk profile and for hedging purposes.

Our currency strategy is to mitigate the currency exposure through matching the asset portfolio to the underlying policy denomination. For fixed income-type securities, this may be achieved through direct investments in the underlying policy denomination or use of currency hedging instruments if the currency of the investment is different from the underlying policy denomination. For equity-type investments, they may carry a currency exposure different from the underlying policy in order to provide diversification benefits through investments across various geographical areas and industries.

Furthermore, the asset portfolio is actively managed by investment professionals to closely monitor the investment performance and investment outlook, such that the range of actual asset allocation may be temporarily wider than the target allocation disclosed above. In addition to conducting regular review, FWD also reserves the right to change the investment strategy and shall notify policyholders for any material changes.

Investment vehicle

The dividend/bonus rate will be influenced by the performance of the underlying investment portfolio, which consists of both fixed income-type securities and equity-type investments. The performance is not static and will be highly affected by the change in market conditions:

Fixed income-type securities

- The return of fixed income-type securities arise from the interest income (“the yield”) attained at the purchase of the securities. Under a higher (lower) market interest rates environment, the company is more likely to attain higher (lower) interest income with the new money (e.g. proceeds from coupons, maturities, new contributions).
- The movement of the market price of the fixed income-type securities generally moves in the opposite direction of the market interest rate. Rise (fall) in the interest rate will decrease (increase) the market value of the portfolio.
- The defaults or downgrades of the fixed income-type securities will result in unfavorable investment performance.

Equity-type investments

- The movement of the market price of the equity-type investments will result in change in the market value of the portfolio. Rise (fall) in the market price will increase (decrease) the market value of the portfolio.
- The change in dividend-type income from the equity-type investments will impact the investment results. Higher (lower) dividend-type income from the underlying investment will improve (worsen) the investment results.

Notes

1. Smart legacy option

- While the policy is in effect and the insured is alive, you may submit a written request in our prescribed form to allocate a designated percentage of the notional amount of the policy (“Designated Percentage”) to one or more policy(ies) (“Designated Policy(ies)”) in the event of the death of the insured. In respect of each Designated Policy, you can nominate a maximum of 3 contingent insureds at a time and designate the sequence of contingent insureds who will become the insured of the Designated Policy in the event of the death of the original insured. The death benefit payable under the policy shall be adjusted according to the Designated Percentage as requested by you.
- Any nomination of the contingent insured must fulfill FWD’s relevant policies and procedures as determined in FWD’s sole discretion from time to time. The age of the contingent insured at the time of application should fulfill the issue age (age next birthday) requirement, i.e. age 1 (15 days) – age 80 (premium payment term of 2 years), age 1 (15 days) – age 75 (premium payment term of 5 years). The contingent insured must have an insurable interest with the policy owner at the time of exercising smart legacy option.
- Subject to our applicable rules and procedures, and applicable laws and regulations, we will arrange the contingent insured who is the first in sequence in our records to become the insured of the respective Designated Policy in the event of the death of the insured, provided that:
 - We receive satisfactory evidence of insurability.
 - The contingent insured must fulfill the issue age requirement as at the effective date of smart legacy option.
 - The notional amount of the Designated Policy shall not be less than the respective minimum notional amount requirement that we set in our sole discretion as at the effective date of the smart legacy option.
- If none of the nominated contingent insureds is able to become the new insured or the notional amount of the Designated Policy does not fulfill the minimum notional amount requirement as determined by us, we will pay the contingent insured who is first in sequence a lump sum amount which is equal to the Designated Percentage of the death benefit less any total indebtedness. For detailed of smart legacy option, please refer to the policy provisions.

2. Contingent policy owner

While the policy is in effect and the insured is alive, you may nominate a maximum of 3 contingent policy owners and designate the sequence of contingent policy owners. Any nomination of the contingent policy owner must fulfill FWD’s relevant policies and procedures as determined in FWD’s sole discretion from time to time. Upon the death of the original policy owner, the contingent policy owner will become the policy owner subject to FWD’s approval based on relevant policies and procedures as determined in FWD’s sole discretion from time to time and that the contingent policy owner is alive.

3. Death benefit settlement option

The default payment option is lump-sum payment. For the payment of death benefit, family accidental death benefit (if applicable) and the specified amount under any attached rider(s) by instalments, policy owner can designate the amount and/or the start date of first instalment. If no start date is specified or the insured passes away after the specified start date, the first instalment payment of death benefit will be paid immediately after the claim is approved. The unpaid amount of death benefit, family accidental death benefit (if applicable) and the specified amount under any attached rider(s) will be deposited with FWD to accumulate non-guaranteed interest (if any) until the full amount of death benefit is paid to the beneficiary. Interest (if any) on unpaid balance of the death benefit, family accidental death benefit (if applicable) and the specified amount under any attached rider(s) will be accumulated and paid to the beneficiary in the last installment in lump sum. Such balance does not participate in the participating fund or benefit from its profit. Selection of available death benefit settlement option and designation of the amount and/or start date of instalment is subject to FWD’s current applicable rules and procedures and may change from time to time.

4. Cash withdrawal

Any amount withdrawn will be taken from the balance of the bonus lock-in account (if any), followed by the cash value of the reversionary bonus (if any). As a result of the withdrawal of the cash value of the reversionary bonus (if any), the face value of the reversionary bonus (if any) will be reduced accordingly, reducing the future policy value of the policy. If there is not enough cash value of the reversionary bonus (if any), the remaining withdrawal amount will be taken from the guaranteed cash value and the cash value of the special bonus (if any) as a partial surrender. Any partial surrender will reduce the notional amount. The total premium paid, subsequent guaranteed cash value, face value and cash value of the reversionary bonus (if any) and face value and cash value of the special bonus (if any) will be reduced on a proportional basis from the effective date of partial surrender, according to the reduction in notional amount. Surrender benefit, family accidental death benefit and death benefit will be reduced accordingly. If cash withdrawal and bonus lock-in option are exercised on the same day, the bonus lock-in option will first be exercised.

You can apply for the regular withdrawal service by written application after the policy has been paid-up or the first policy anniversary, whichever is later. When the application is approved, the selected withdrawal amount will be directly credited to the designated account of policy owner. The regular withdrawal service is subject to the minimum and maximum withdrawal limits that we set in our sole discretion. If you exercise the regular withdrawal service in early policy years, the amount withdrawn together with the policy values remained in the policy may be considerably less than the total amount of the premiums you paid. We will terminate the regular withdrawal service if the notional amount after the withdrawal would be below the minimum amount prescribed by FWD, or your request to exercise the policy currency conversion option is approved by us or your request to exercise the policy-split option is approved by us or there is any change to the insured of the policy pursuant to the smart legacy option provision. Please contact your licensed insurance intermediary for the details of regular withdrawal service.

5. Policy currency conversion option

Starting from the 3rd policy anniversary and whilst the policy is still in effect, policy owner may request to change the current policy currency to another currency, by converting the policy to a designated plan available and as determined by FWD (“New Plan”), provided that:

- The policy currency conversion option can only be exercised once every policy year. Once your request for exercising this option is submitted to us, you cannot withdraw or amend it.
- All premium and insurance levies due at the time of application for exercising the policy currency conversion option have been paid under the policy and all outstanding debts (if any) in the policy must be settled before we approve such application.
- The notional amount after we approve your application must not be less than the minimum notional amount requirement that we set for the New Plan.
- FWD reserves its right to suspend and/or terminate the offering of the policy currency conversion option at any time, and FWD may at its absolute discretion reject your request for exercising the policy currency conversion option at any time.

Upon our approval of the application for exercising the policy currency conversion option:

- Your current policy will be exchanged to the New Plan denominated in the new policy currency. The New Plan may or may not be the same as the insurance plan as your current policy. Hence, product features, benefits and policy terms of the New Plan may be different from those under your current policy. All benefits, terms and conditions will follow those as provided under the New Plan, except for the commencement date, policy date and policy years of the current policy which will remain unchanged.
- The total cash value of the policy will be converted to the new policy currency under the New Plan according to the prevailing currency exchange rate (which is determined in FWD’s sole discretion) as at the effective date of the policy currency conversion option.
- The guaranteed policy values, non-guaranteed policy values, notional amount and premiums payable (if any) for the New Plan after exercising the policy currency conversion option will be determined and adjusted (either increase or decrease) based on factors including but not limited to prevailing currency exchange rate (which is determined in FWD’s sole discretion), the investment yield and asset values of the existing versus new underlying portfolio of assets of the New Plan, and/or the transaction from the existing to new assets, and may be lower or higher than the corresponding values before exercising this option. We will also determine in our sole discretion the balance of the bonus lock-in account (if any) for the New Plan based on the prevailing currency exchange rate.
- Any riders attached to the policy will remain in force and the currency of such rider will be converted to the new policy currency, provided that such rider is offered under the New Plan and is available in the new policy currency. If such rider is not offered under the New Plan or is not available in the new policy currency, it will be automatically terminated.

For detailed terms and conditions of the policy currency conversion option, please refer to the policy provisions.

6. Policy-split option

Starting from the 3rd policy anniversary and whilst the policy is still in effect, policy owner may request to transfer a designated percentage (“Transfer Percentage”) of the notional amount of the original policy to one or more separated policy(ies) (such transfer is known as “Policy-Split”). You can only submit a request to exercise this Policy-Split Option once every policy year to exercise Policy-Split, provided that:

- Your request for exercising the Policy-Split option once submitted to us cannot be withdrawn or amended.
- All premium and insurance levies due at the time of application for exercising the Policy-Split option have been paid under the policy and all outstanding debts (if any) in the policy must be settled before we approve such application.
- The notional amount of the policies after you have exercised the Policy-Split option must not be less than the minimum notional amount we set.
- At the time of making the application for exercising the Policy-Split option and our approval of the application, the policy is not in the status of premium holiday (if applicable).

Upon our approval of the application for exercising the Policy-Split option:

- We will terminate the benefit entitlements of the baby bonus and outstanding performance awards of the original policy and separated policy(ies) immediately. The benefit entitlement of family accidental death benefit will not be available under the original policy and the separated policies if one claim for family accidental death benefit has been made under the policy.
- Policy values of the original policy including total cash value, guaranteed cash value, reversionary bonus (if any), special bonus (if any) and balance of the bonus lock-in account (if any) will be reduced to reflect the transfer of notional amount to the separated policy(ies), and allocated to the separated policy(ies) according to the Transfer Percentage.
- The premiums payable under the original policy and the separated policy(ies) will be adjusted according to the latest notional amount of each of the policy.
- There is no cooling-off period for the separated policy(ies).
- We reserve our right to suspend and/or terminate the offering of the Policy-Split option at any time, and we may at our absolute discretion reject your request for exercising the Policy-Split option at any time.

For detailed terms and conditions of the Policy-Split option, please refer to the policy provisions.

7. Change of insured

After the end of 1st policy year and the insured is alive, you can apply in writing to change the insured. Any change to the insured must fulfill FWD’s relevant policies and procedures as determined in FWD’s sole discretion from time to time. Any change of the insured will not have any effect on the notional amount, total cash value, guaranteed cash value, reversionary bonus (if any), special bonus (if any), balance of the bonus lock-in account (if any) or policy years. The age of new proposed insured should fulfill the issue age (age next birthday) requirement, i.e. age 1 (15 days) – age 80 (premium payment term of 2 years), age 1 (15 days) – age 75 (premium payment term of 5 years). The new insured must have an insurable interest with the policy owner. All riders (if any) will be terminated after insured is changed and no riders can be attached afterwards.

8. Change of policy owner

Subject to the policy provisions of the plan, while the plan is in effect, the policy owner may be changed if the current policy owner submits a written request to FWD. After confirming the receipt of all the relevant information, FWD will process such request and such change will be effective from the date the request is approved by FWD.

9. Bonus lock-in option

Lock-in value shall not be less than the minimum amount determined by us in our sole discretion from time to time. Upon approving the request by us and subject to the terms and conditions, lock-in value will be transferred to the bonus lock-in account. The balance of the bonus lock-in account will be accumulated with interest. The interest rate on the bonus lock-in account will be determined by us from time to time and is not guaranteed. The starting date of bonus lock-in option, which is currently at the 9th policy anniversary, may be changed by us in our sole discretion from time to time.

10. Automatic lock-in option

The automatic lock-in option will be suspended immediately when the amount of cash value of reversionary bonus and the cash value of the special bonus before exercising automatic lock-in option is less than 10% of total premiums paid. Such percentage may be changed by us in our sole discretion from time to time. If you request to surrender the policy partially or your request to exercise the policy currency conversion option or policy-split option is approved by us or there is any change to the insured of the policy pursuant to the smart legacy option provision after you have exercised automatic lock-in option, FWD will automatically suspend the automatic lock-in option. You are required to submit a new request in writing to resume the automatic lock-in option. For details, please refer to the policy provisions.

11. Flexi lock-in option

The annual minimum and maximum lock-in percentage may be determined in FWD’s sole discretion from time to time. For details, please refer to the policy provisions.

12. Incapacity benefit

- If the percentage for the incapacity benefit (“Incapacity Benefit Percentage”) is 100%, surrender will be triggered automatically and the incapacity benefit will be paid in the amount of total cash value after deducting any total indebtedness and outstanding insurance levies. The policy will automatically terminate on the approval date of the incapacity benefit request.
- If the Incapacity Benefit Percentage is less than 100%, the amount of incapacity benefit is equal to (1) total cash value (including guaranteed cash value, cash value of the reversionary bonus (if any), cash value of the special bonus (if any) and balance in the bonus lock-in account (if any)) multiplied by Incapacity Benefit Percentage; and (2) less total indebtedness (if any) (e.g. policy loan with interest) and any outstanding insurance levy(ies). The incapacity benefit will be paid by withdrawing the balance of the bonus lock-in account (if any) first, followed by the cash value of the reversionary bonus (if any). As a result of the withdrawal of the cash value of the reversionary bonus (if any), the face value of the reversionary bonus (if any) will be reduced accordingly, reducing the future policy value of the policy. If there is not enough cash value of the reversionary bonus (if any) to pay the incapacity benefit, partial surrender will be triggered automatically and the remaining portion of incapacity benefit will be paid by withdrawing guaranteed cash value and the cash value of the special bonus (if any).
- Any partial surrender triggered as a result of paying the incapacity benefit will reduce the notional amount. The total premiums paid, subsequent guaranteed cash value, reversionary bonus (if any), special bonus (if any), surrender benefit, death benefit and family accidental death benefit will then be reduced accordingly from the effective date of partial surrender, according to the reduction in the notional amount.
- The incapacity benefit is payable once under the policy only. Any application, change or request for the incapacity benefit is subject to FWD’s applicable rules and procedures, and applicable laws and regulations.

For detailed of incapacity benefit, please refer to the policy provisions.

13. Family accidental death benefit

Upon receipt of acceptable proof of the death of the insured (provided that death benefit is payable) and / or direct family member(s) as a result of an accident, we shall pay family accidental death benefit which is equal to 200% of total premiums paid subject to exclusions of family accidental death benefit. The maximum benefit limit of US\$200,000 for the family accidental death benefit is shared with all the basic plans under designated product series with us covering the same insured within the first 10 policy years. Family accidental death benefit shall be terminated if one claim for the family accidental death benefit has been made under the policy. Direct family member(s) of the insured means the spouse of the insured and / or the children of the insured. For details, please refer to the policy provisions.

14. Premium holiday

To apply for premium holiday (applicable to the premium payment terms of 5 years), you should submit your request within 60 calendar days before the policy anniversary in our prescribed form to suspend paying premiums for a specified period. Once the premium holiday request is approved, any rider(s) attached to the policy will be automatically terminated and no riders can be attached afterward. In the event of policy owner is diagnosed with one of the covered illnesses (cancer, heart attack or stroke), policy owner can provide the prescribed form and the medical certificate completed by the attending registered doctor to us to apply 1 year extended premium holiday period. For detailed terms and conditions, definition of covered illnesses and the relevant exclusions, please refer to the policy provisions.

15. Outstanding performance awards

- Outstanding performance awards can be claimed while the policy has been in force for more than 10 months till the insured reaches attained age 26 and the insured is at age 18 or below (age next birthday) as on the commencement date of the policy and named in the policy schedule is alive.
- Outstanding performance awards will be payable if the policy owner makes a request for the payment of one of the outstanding performance awards with our receipt of satisfactory documentary proof in achieving any of the specified criteria of the respective academic achievements (please refer to the summary table of outstanding performance awards for details) till the insured reaches attained age 26.
- To make a claim on outstanding performance awards, the policy owner must submit designated forms together with the document proof within 60 days from the issue date of such document proof, we may also request any other information and documents, subject to our applicable rules and procedures at that time.
- Outstanding performance awards will be terminated on the earliest of the following: (i) your request to exercise the policy-split option is approved by us, or (ii) if the insured is changed pursuant to the change of insured option provision or smart legacy option provision unless the insured is changed to the insured's biological child who is the same as the one under the claim of the baby bonus.
- Outstanding performance awards are subject to FWD's applicable rules and procedures and may change the terms and conditions from time to time. The currency of this award will be in Hong Kong dollars regardless of the policy currency of the policy, and will be payable in HK\$ cheque only.

16. Baby bonus

- Baby bonus is applicable only if the notional amount of the policy as of the commencement date is not less than US\$3,000.
- Baby bonus can be claimed while the policy has been in force for more than 10 months and the insured is above age 18 (age next birthday) as on the commencement date of the policy and named in the policy schedule is alive.
- Baby bonus will be payable if the policy owner makes a request for the claiming baby bonus within 60 days of the birth of the insured's biological child with our receipt of satisfactory documentary proof.
- This bonus will be paid for once even if more than one child is born at the same time and subject to a maximum of once per policy and per same insured life of all policies with us. Once this bonus becomes payable or the insured is changed pursuant to the change of insured option provision or smart legacy option provision or upon our approval of the policy-split option, the baby bonus of the original policy and/or separated policy(ies) will be terminated.
- Baby bonus is subject to our applicable rules and procedures and may change the terms and conditions from time to time. The currency of this bonus will be in Hong Kong dollars regardless of the policy currency of the policy, and will be payable in HK\$ cheque only.

17. Partial surrender or surrender benefits

FWD may defer payment of partial surrender or surrender benefits for a period of up to 6 months from the date of FWD's receipt of the duly completed request. FWD shall not be liable for any loss incurred as a result of this deferral, including but not limited to interest and deduction of value caused by exchange rate fluctuation.

Key product risks

Credit risk

This product is an insurance policy issued by FWD. The application of this insurance product and all benefits payable under your policy are subject to the credit risk of FWD. You will bear the default risk in the event that FWD is unable to satisfy its financial obligations under this insurance contract.

Liquidity risk

This product is a long term insurance policy. This policy of long term insurance will be made for whole of insured's life starting from the policy effective date. The policy contains value and, if you surrender your policy in the early policy years, the amount you get back may be considerably less than the total premium you have paid. If you have selected the prepayment option for regular premium payment policies, all amounts in the premium deposit account will not be refunded or returned to you unless the policy is cancelled or surrendered. You should make sure that you intend to leave your prepayment amount in your premium deposit account. Application of the Plan may constitute the liquidity risk to your financial condition. You need to bear the liquidity risk associated with the Plan.

Exchange rate and currency risk

The application of this insurance product with the policy currency denominated in a foreign currency is subject to that foreign currency's exchange rate and currency risk. The foreign currency may be subject to the relevant regulatory bodies' control (for example, exchange restrictions). If your home currency is different from the policy currency, please note that any exchange rate fluctuation between your home currency and the policy currency of this insurance product will have a direct impact on the amount of premium required and the value of benefit(s) to be received. For instance, if the policy currency of the insurance product depreciates substantially against your home currency, there is a negative impact on the benefits you receive from the product. If the policy currency of the insurance product appreciates substantially against your home currency, your burden of the premium payment is increased.

Risk from exercising the policy currency conversion option

The mix of the policy values (including guaranteed cash value, reversionary bonus (if any) and special bonus (if any)) of your policy may be adjusted significantly after exercising the policy currency conversion option. The projected policy values (including guaranteed cash value, reversionary bonus (if any) and special bonus (if any)) of your policy may also be adjusted significantly (either increase or decrease) from the corresponding values before exercising the policy currency conversion option. Any future premiums may be adjusted significantly if the policy currency conversion option is exercised within the premium payment term. The availability of currency at the time of exercising the policy currency conversion option will be subject to the applicable laws and regulations and determined in FWD's sole discretion. The New Plan may or may not be the same as the insurance plan as your current policy. Hence, product features, benefits, policy terms and investment strategy of the New Plan may be different from those under your current policy. Please note that the policy currency conversion option may not be available in the New Plan after exercising the policy currency conversion option, which means you may not be able to further change the policy currency of the New Plan and in a worst-case scenario, it may only be a one-time option depending on the New Plan's features. Any riders attached to the policy will be terminated if it is not offered under the New Plan or is not available in the new policy currency.

Inflation risk

The cost of living in the future may be higher than now due to the effects of inflation. Therefore, the benefits under this policy may not be sufficient for the increasing protection needs in the future even if FWD fulfills all of its contractual obligations.

Early surrender risk

If you surrender your policy in the early policy years, the amount of the benefit you will get back may be considerably less than the total amount of the premiums you paid.